

Japan IT Services: NC company results read-across (1) mid-tier SI/NI: IJ (NW infra/services), Dentsu Soken (SI/financial/manufacturing)

In this report, we consider the potential implications for our IT services sector coverage from visits we made to two Not Covered companies in the mid-tier SI/NI (system integrator) and NI (network integrator) space, **Internet Initiative Japan (IJ; network infrastructure/network services/MVNO) and Dentsu Soken (SI/financial/manufacturing)**. While IJ's FY3/26 results missed guidance, there were signs in 4Q3/26 (Jan-Mar) that profitability in the network services business is bottoming out, and FY3/27 guidance calls for double-digit (%) profit growth driven by network infrastructure business, for which orders are strong. **Dentsu Soken** is generally performing well outside of the auto sector, with a strong start in 1Q12/26 (Jan-Mar) including double-digit (%) yoy growth in both operating profits and orders, driven by custom system development and proprietary software. **In terms of read-across, we view strong demand for network infrastructure construction as a positive for BIPROGY (Buy), which has a strong presence and a high sales weighting in this field, and as a tailwind for NEC (Buy) and Fujitsu (Buy) as well.** Below we outline our key takeaways from NC company commentary. (see [Exhibit 1/Exhibit 2/Exhibit 3](#) for company earnings)

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IJ (3774.T; NW infrastructure/NW services/MVNO)

- **(1) Guidance:** FY3/27 guidance calls for operating profits of ¥38.5 bn (+11% yoy), with growth expected to accelerate on an underlying basis excluding the dropout of gains from the reversal of retirement benefit provisions (¥1.17 bn). In addition to bottoming profitability in network services, system integration (network infrastructure) is expected to drive growth, backed by strong orders. The company aims to improve profitability in network services by implementing price hikes, mainly for corporate customers (profit impact of just under ¥0.8 bn), and controlling other costs.
- **(2) System integration (SI) business:** 4Q3/26 orders remained strong, rising +51% yoy, with brisk inquiries from government agencies and the financial sector. While existing customers account for the majority, projects in new fields are increasing, and the company's share of wallet (within customer share) is on an uptrend. Demand is strong in network infrastructure construction for structural reasons, and the company expects the trend to continue in FY3/27. It also expects gross margin improvement as the weighting of maintenance business increases.

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- **(3) Network services business:** In FY3/27, the company expects stable growth in IP services and outsourcing to be supplemented by work on large-scale WAN projects. Trends in MVNO/MVNE businesses are unchanged, and the company currently has no plans to raise prices (it is gaining share on the back of low prices). It plans to limit deterioration in gross margin to a slight decrease through price hikes outside of MVNO/MVNE and cost controls.
- **(4) Impact of higher memory prices:** The company said components for servers and network equipment have become somewhat difficult to get hold of, and it started front-loading procurement in January. While passing on costs via price increases for products and services in the SI business is relatively straightforward, it takes time to do so in the network services business due to contract timings.

Dentsu Soken (4812.T; SI/financial/manufacturing)

- **(1) 1Q12/26 (Jan-Mar) earnings:** Operating profits were up +14% yoy in a strong start to the year. While progress in the manufacturing solutions business was somewhat slow, the business solutions and communication IT businesses are tracking above guidance. Gross margin improved on growth in custom system development and proprietary software, and businesses other than manufacturing solutions all saw sharp profit increases.
- **(2) Order environment:** 1Q orders rose +20% yoy, driven by strong inquiries for development for the financial sector (especially megabanks), proprietary software such as STRAVIS consolidation accounting software and POSITIVE human resource management (for trading companies and electric power companies), and development work for the Dentsu Group. Although the manufacturing solutions business won a large, long-term project, investment appetite among automotive customers lacks strength due to factors such as reciprocal tariffs and poor business performance, so the company is shifting its focus from the automotive to the semiconductor sector.
- **(3) 2Q12/26 outlook:** 1H guidance is unchanged, implying a 2Q operating profit outlook of +11%/+¥0.53 bn yoy. The company expects the dropout of a loss on the retirement of POSITIVE software (¥0.31 bn loss) booked in 2Q12/25 as a one-off expense. The order backlog at the end of 1Q was up a robust +33% yoy, and the company said it had greater confidence in achieving guidance. It has not seen any signs of a decline in customer investment appetite due to the situation in the Middle East.

Exhibit 1: Internet Initiative Japan (IIJ; 3774.T): Earnings by segment

(mn yen)	23/3	24/3	25/3	26/3	CoE 27/3E	26/3 Q1	Q2	Q3	Q4
<i>Internet Initiative Japan (3774)</i>									
Sales	252,708	276,080	316,831	345,395	385,000	76,821	85,089	87,421	96,064
yoy	11.7%	9.2%	14.8%	9.0%	11.5%	6.7%	13.4%	6.2%	9.8%
Gross Profit	57,908	63,866	68,402	76,167	85,700	16,693	18,435	19,078	21,961
yoy	12.2%	10.3%	7.1%	11.4%	12.5%	18.1%	11.5%	4.5%	12.8%
% of sales	22.9%	23.1%	21.6%	22.1%	22.3%	21.7%	21.7%	21.8%	22.9%
SGA and etc.	30,687	34,837	38,298	41,332	47,200	10,662	9,078	10,054	11,538
yoy	9.3%	13.5%	9.9%	7.9%	14.2%	10.5%	-1.7%	7.7%	14.5%
% of sales	12.1%	12.6%	12.1%	12.0%	12.3%	13.9%	10.7%	11.5%	12.0%
Operating Profits	27,221	29,029	30,104	34,835	38,500	6,031	9,357	9,024	10,423
yoy	15.6%	6.6%	3.7%	15.7%	10.5%	34.6%	28.2%	1.1%	10.9%
% of sales	10.8%	10.5%	9.5%	10.1%	10.0%	7.9%	11.0%	10.3%	10.9%
Sales and OP by segments									
I Network Service									
Sales	138,922	151,347	162,577	178,738	200,500	42,512	44,535	45,074	46,617
yoy	8.4%	8.9%	7.4%	9.9%	12.2%	8.8%	11.7%	9.5%	9.8%
% of sales	55.0%	54.8%	51.3%	51.7%	0.0%	55.3%	52.3%	51.6%	48.5%
(1) Internet Connectivity Services for Enterprise	40,253	44,725	48,994	53,891		12,731	13,653	13,615	13,892
yoy	6.2%	11.1%	9.5%	10.0%		9.4%	14.5%	8.3%	8.0%
% of sales	15.9%	16.2%	15.5%	15.6%		16.6%	16.0%	15.6%	14.5%
(2) Internet Connectivity Services for Individual	24,235	25,285	26,832	28,671		6,958	7,054	7,305	7,354
yoy	3.7%	4.3%	6.1%	6.9%		5.4%	6.9%	9.4%	5.8%
% of sales	9.6%	9.2%	8.5%	8.3%		9.1%	8.3%	8.4%	7.7%
(3) WAN service	27,626	28,365	27,606	28,554		6,925	7,085	7,196	7,348
yoy	4.6%	2.7%	-2.7%	3.4%		1.3%	2.4%	4.1%	5.8%
% of sales	10.9%	10.3%	8.7%	8.3%		9.0%	8.3%	8.2%	7.6%
(5) Outsourcing Service	46,808	52,972	59,145	67,622		15,898	16,743	16,958	18,023
yoy	15.5%	13.2%	11.7%	14.3%		13.7%	15.9%	13.0%	14.7%
% of sales	18.5%	19.2%	18.7%	19.6%		20.7%	19.7%	19.4%	18.8%
Gross Profit	38,146	43,493	45,273	48,430	54,000	11,600	12,013	12,153	12,664
yoy	7.1%	14.0%	4.1%	7.0%	11.5%	9.1%	8.8%	1.1%	9.4%
% of sales	27.5%	28.7%	27.8%	27.1%	26.9%	27.3%	27.0%	27.0%	27.2%
II System Integration									
Order	120,910	147,955	157,856	207,106		45,317	45,499	49,643	66,647
yoy	19.2%	22.4%	6.7%	31.2%		12.9%	38.6%	22.2%	50.6%
Order Backlog	82,757	108,893	115,443	158,910		127,200	132,915	140,944	158,910
yoy	13.7%	31.6%	6.0%	37.7%		8.9%	15.3%	22.1%	37.7%
Sales	110,944	121,819	151,306	163,639	181,500	33,560	39,784	41,614	48,681
yoy	16.4%	9.8%	24.2%	8.2%	10.9%	4.1%	15.8%	3.0%	9.9%
% of sales	43.9%	44.1%	47.8%	47.4%	47.1%	43.7%	46.8%	47.6%	50.7%
Gross Profit	18,553	19,042	21,753	26,298	30,500	4,738	6,048	6,576	8,936
yoy	24.2%	2.6%	14.2%	20.9%	16.0%	49.3%	17.7%	11.4%	18.6%
% of sales	16.7%	15.6%	14.4%	16.1%	16.8%	14.1%	15.2%	15.8%	18.4%
ATM Operation business									
Sales	2,842	2,914	2,948	3,018	3,000	749	770	733	766
yoy	2.1%	2.5%	1.2%	2.4%	-0.6%	4.8%	1.0%	1.7%	2.1%
% of sales	1.1%	1.1%	0.9%	0.9%	0.8%	1.0%	0.9%	0.8%	0.8%
Gross Profit	1,209	1,331	1,376	1,439	1,200	355	374	349	361
yoy	13.3%	10.1%	3.4%	4.6%	-16.6%	9.2%	3.9%	4.2%	1.4%
% of sales	42.5%	45.7%	46.7%	47.7%	40.0%	47.4%	48.6%	47.6%	47.1%
KPI: Number of subscribers									
Number of IP service subscribers	2,765	2,796	3,081	3,157		3,041	3,173	3,167	3,157
yoy	35.8%	1.1%	10.2%	2.5%		4.4%	5.0%	4.1%	2.5%
qoq	35.8%	1.1%	10.2%	2.5%		-1.3%	4.3%	-0.2%	-0.3%
(yoy: net increase)	729	31	285	76		129	151	125	76
(qoq: net increase)	729	31	285	76		-40	132	-6	-10
Number of MVNE subscribers	1,119,830	1,185,673	1,251,674	1,365,657		1,248,704	1,302,581	1,372,828	1,365,657
yoy	8.4%	5.9%	5.6%	9.1%		5.7%	7.7%	11.5%	9.1%
qoq	8.4%	5.9%	5.6%	9.1%		-0.2%	4.3%	5.4%	-0.5%
(yoy: net increase)	86,802	65,843	66,001	113,983		67,039	92,576	142,007	113,983
(qoq: net increase)	86,802	65,843	66,001	113,983		-2,970	53,877	70,247	-7,171
Number of MVNO subscribers	1,206,321	1,274,410	1,311,509	1,430,483		1,350,225	1,382,080	1,394,701	1,430,483
yoy	10.7%	5.6%	2.9%	9.1%		4.7%	6.8%	8.6%	9.1%
qoq	10.7%	5.6%	2.9%	9.1%		3.0%	2.4%	0.9%	2.6%
(yoy: net increase)	116,113	68,089	37,099	118,974		60,685	87,660	110,392	118,974
(qoq: net increase)	116,113	68,089	37,099	118,974		38,716	31,855	12,621	35,782

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Dentsu Soken (4812.T): Earnings by segment

(mn yen)	23/12	24/12	25/12	CoE	25/12	Q1	Q2	Q3	Q4	26/12
Dentsu Soken (4812)				26/12E						Q1
Order	144,858	158,602	181,345		48,518	41,528	47,824	43,475	58,114	
yoy	3.1%	9.5%	14.3%		5.8%	0.8%	36.1%	19.4%	19.8%	
Order Backlog	53,899	59,859	76,339		68,132	69,666	76,577	76,339	90,634	
yoy	4.4%	11.1%	27.5%		8.8%	3.3%	19.9%	27.5%	33.0%	
Sales	142,608	152,642	164,865	182,000	40,244	39,995	40,912	43,714	43,820	
yoy	10.5%	7.0%	8.0%	10.4%	8.5%	7.7%	7.7%	8.2%	8.9%	
Gross Profit	51,780	56,123	60,376	67,300	14,397	14,388	15,015	16,576	15,894	
yoy	10.7%	8.4%	7.6%	11.5%	6.1%	6.5%	12.5%	5.6%	10.4%	
% of sales	36.3%	36.8%	36.6%	37.0%	35.8%	36.0%	36.7%	37.9%	36.3%	
SGA	30,752	35,083	37,487	41,800	8,618	9,505	9,401	9,963	9,306	
yoy	9.1%	14.1%	6.9%	11.5%	10.4%	6.7%	1.7%	9.2%	8.0%	
% of sales	21.6%	23.0%	22.7%	23.0%	21.4%	23.8%	23.0%	22.8%	21.2%	
Operating Profits	21,028	21,039	22,888	25,500	5,779	4,882	5,616	6,611	6,588	
yoy	13.1%	0.1%	8.8%	11.4%	0.4%	6.1%	36.9%	0.5%	14.0%	
% of sales	14.7%	13.8%	13.9%	14.0%	14.4%	12.2%	13.7%	15.1%	15.0%	
<Sales and OP by Segments>										
I Financial Solutions										
Order		34,600	39,029		9,802	9,750	9,369	10,108	10,106	
yoy		-	12.8%		2.2%	8.3%	31.6%	13.9%	13.9%	
Order Backlog		8,617	12,815		10,115	11,814	12,298	12,815	13,820	
yoy		-	48.7%		9.2%	24.4%	49.9%	48.7%	36.6%	
Sales		34,050	34,832	39,500	8,305	8,050	8,885	9,592	9,101	
yoy		-	2.3%	13.4%	-1.3%	-8.2%	5.6%	13.4%	9.6%	
% of sales		22.3%	21.1%	21.7%	20.6%	20.1%	21.7%	21.9%	20.8%	
Operating Profits		4,348	4,459		1,105	800	1,163	1,391	1,408	
yoy		-	2.6%		-3.5%	-24.0%	11.4%	26.0%	27.4%	
% of sales		12.8%	12.8%		13.3%	9.9%	13.1%	14.5%	15.5%	
II Business Solutions										
Order		22,809	32,757		7,600	8,822	6,170	10,164	8,042	
yoy		-	43.6%		26.1%	39.7%	15.7%	98.1%	5.8%	
Order Backlog		7,178	11,922		9,071	10,494	9,453	11,922	12,239	
yoy		-	66.1%		8.9%	23.9%	13.9%	66.1%	34.9%	
Sales		23,626	28,013	31,000	5,706	7,399	7,212	7,696	7,726	
yoy		-	18.6%	10.7%	0.3%	19.8%	31.0%	23.0%	35.4%	
% of sales		15.5%	17.0%	17.0%	14.2%	18.5%	17.6%	17.6%	17.6%	
Operating Profits		5,319	6,994		990	1,940	1,941	2,123	2,060	
yoy		-	31.5%		-17.4%	29.2%	100.1%	28.9%	108.1%	
% of sales		22.5%	25.0%		17.4%	26.2%	26.9%	27.6%	26.7%	
III Manufacturing Solutions										
Order		63,173	68,038		16,964	13,157	24,769	13,148	21,729	
yoy		-	7.7%		-5.4%	-16.9%	55.5%	-2.5%	28.1%	
Order Backlog		28,635	35,634		29,440	27,754	37,880	35,634	41,762	
yoy		-	24.4%		1.7%	-8.9%	21.7%	24.4%	41.9%	
Sales		60,564	61,039	66,000	16,159	14,843	14,642	15,395	15,601	
yoy		-	0.8%	8.1%	7.7%	3.6%	-4.0%	-3.7%	-3.5%	
% of sales		39.7%	37.0%	36.3%	40.2%	37.1%	35.8%	35.2%	35.6%	
Operating Profits		8,574	7,549		2,571	1,550	1,650	1,778	1,792	
yoy		-	-12.0%		0.9%	-3.7%	-7.3%	-32.5%	-30.3%	
% of sales		14.2%	12.4%		15.9%	10.4%	11.3%	11.5%	11.5%	
IV Communication IT										
Order		38,027	41,519		14,150	9,799	7,517	10,058	18,235	
yoy		-	9.2%		15.1%	-2.6%	11.3%	12.7%	28.9%	
Order Backlog		15,427	15,967		19,505	19,602	16,945	15,967	22,812	
yoy		-	3.5%		21.2%	3.3%	4.5%	3.5%	17.0%	
Sales		34,401	40,980	45,500	10,073	9,702	10,174	11,031	11,390	
yoy		-	19.1%	11.0%	25.9%	23.3%	15.4%	13.6%	13.1%	
% of sales		22.5%	24.9%	25.0%	25.0%	24.3%	24.9%	25.2%	26.0%	
Operating Profits		2,797	3,886		1,112	591	862	1,321	1,326	
yoy		-	38.9%		28.9%	34.9%	180.8%	11.2%	19.2%	
% of sales		8.1%	9.5%		11.0%	6.1%	8.5%	12.0%	11.6%	

Segment definitions were changed in FY12/25. The ERP business in the communication IT segment was transferred to manufacturing solutions, and collaborative business with Dentsu in the communication IT segment was transferred to all segments.

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: IT services sector: Earnings estimates

Company	Results (FY ended March)		GSE			CoE	CY25			CY26			
	25/3	26/3	27/3	28/3	29/3	27/3	1-3	4-6	7-9	10-12	1-3	4-6E	
【Mid-sized System Integrators】													
2327 NS Solutions (NSSOL)	Sales	338,301	381,340	416,000	431,000	453,000	417,000	98,007	82,684	95,691	97,020	105,945	95,000
	%y-y	8.9%	12.7%	9.1%	3.6%	5.1%	9.4%	8.3%	7.6%	19.9%	15.9%	8.1%	14.9%
	OP	38,497	44,242	47,500	50,000	54,000	47,500	8,910	8,485	9,787	12,718	13,252	8,500
	%y-y	10.0%	14.9%	7.4%	5.3%	8.0%	7.4%	-23.9%	-3.7%	5.1%	11.0%	48.7%	0.2%
	OP margin	11.4%	11.6%	11.4%	11.6%	11.9%	11.4%	9.1%	10.3%	10.2%	13.1%	12.5%	8.9%
3626 TIS	Sales	571,687	596,479	622,500	642,500	658,500	620,000	155,126	140,316	148,209	147,726	160,228	146,830
	%y-y	4.1%	4.3%	4.4%	3.2%	2.5%	3.9%	7.5%	4.7%	4.7%	4.8%	3.3%	4.6%
	OP	69,047	76,229	81,500	86,000	89,300	81,000	20,163	16,353	19,200	19,250	21,426	17,200
	%y-y	6.9%	10.4%	6.9%	5.5%	3.8%	6.3%	18.7%	16.3%	16.7%	4.8%	6.3%	5.2%
	OP margin	12.1%	12.8%	13.1%	13.4%	13.6%	13.1%	13.0%	11.7%	13.0%	13.0%	13.4%	11.7%
4307 Nomura Research Institute (NRI)	Sales	764,813	814,708	854,200	897,200	941,400	850,000	196,567	195,770	201,295	205,268	212,374	205,900
	%y-y	3.8%	6.5%	4.8%	5.0%	4.9%	4.3%	5.4%	4.1%	6.7%	7.2%	8.0%	5.2%
	OP	134,907	58,273	178,000	198,000	219,000	175,000	32,554	37,246	41,553	39,981	-60,506	41,000
	%y-y	12.0%	-56.8%	205.5%	11.2%	10.6%	200.3%	11.6%	14.1%	26.0%	8.9%	N.M.	10.1%
	OP margin	17.6%	7.2%	20.8%	22.1%	23.3%	20.6%	16.6%	19.0%	20.6%	19.5%	-28.5%	19.9%
4684 Obic	Sales	121,240	135,209	149,000	161,800	174,000	148,700	31,517	32,431	33,353	34,329	35,096	35,860
	%y-y	8.6%	11.5%	10.2%	8.6%	7.5%	10.0%	12.5%	12.7%	9.7%	12.4%	11.4%	10.6%
	OP	78,378	88,823	99,300	108,800	118,000	98,000	19,812	21,479	22,176	22,610	22,558	24,100
	%y-y	10.5%	13.3%	11.8%	9.6%	8.5%	10.3%	13.8%	15.2%	11.0%	13.4%	13.9%	12.2%
	OP margin	64.6%	65.7%	66.6%	67.2%	67.8%	65.9%	62.9%	66.2%	66.5%	65.9%	64.3%	67.2%
4733 Obic Business Consultants (OBC)	Sales	46,984	51,401	57,650	64,300	71,670	57,500	12,220	12,151	12,781	12,946	13,524	13,370
	%y-y	12.0%	9.4%	12.2%	11.5%	11.5%	11.9%	6.1%	8.2%	11.0%	7.7%	10.7%	10.0%
	OP	21,744	23,581	26,800	31,000	35,800	26,500	5,833	5,570	5,590	6,110	6,311	6,200
	%y-y	16.0%	8.4%	13.7%	15.7%	15.5%	12.4%	6.3%	7.5%	13.4%	5.3%	8.2%	11.3%
	OP margin	46.3%	45.9%	46.5%	48.2%	50.0%	46.1%	47.7%	45.8%	43.7%	47.2%	46.7%	46.4%
8056 BIPROGY (ex Nihon Unisys)	Sales	404,010	433,686	484,500	516,200	546,900	470,000	124,745	96,844	108,288	101,712	126,842	107,100
	%y-y	9.2%	7.3%	11.7%	6.5%	5.9%	8.4%	12.1%	9.6%	10.9%	9.1%	1.7%	10.6%
	OP	39,066	42,604	48,400	54,600	60,800	48,400	13,900	8,569	12,781	8,998	12,256	8,800
	%y-y	17.4%	9.1%	13.6%	12.8%	11.4%	13.6%	51.9%	30.3%	12.4%	24.6%	-11.8%	2.7%
	OP margin	9.7%	9.8%	10.0%	10.6%	11.1%	10.3%	11.1%	8.8%	11.8%	8.8%	9.7%	8.2%
【Large System Integrators】													
6501 Hitachi Digital Systems & Services (DSS)	Sales	2,832,584	2,940,000	3,291,900	3,579,000	3,890,100	3,190,000	823,300	617,400	708,800	714,900	898,912	668,650
	%y-y	9.0%	3.8%	12.0%	8.7%	8.7%	8.5%	6.2%	-2.6%	4.5%	2.6%	9.2%	8.3%
	Adjusted OP	374,700	430,000	477,100	524,700	572,900	480,000	124,400	61,800	105,200	116,875	159,200	97,011
	%y-y	20.6%	14.8%	11.0%	10.0%	9.2%	11.6%	19.2%	-16.1%	22.9%	28.6%	28.0%	57.0%
	OP margin	13.2%	14.6%	14.5%	14.7%	14.7%	15.0%	15.1%	10.0%	14.8%	16.3%	17.7%	14.5%
6701 NEC	Sales	3,423,431	3,582,733	3,596,000	3,755,000	3,916,000	3,500,000	1,101,622	715,658	854,121	858,000	1,160,416	740,000
	%y-y	-1.5%	4.7%	0.4%	4.4%	4.3%	-2.3%	1.6%	3.7%	7.3%	2.7%	5.3%	3.4%
	OP	256,497	359,913	419,000	467,000	518,000		130,331	35,389	83,181	66,591	174,752	39,000
	%y-y	36.4%	40.3%	16.4%	11.5%	10.9%		10.3%	679.5%	107.2%	-18.3%	34.1%	10.2%
	OP margin	7.5%	10.0%	11.7%	12.4%	13.2%		11.8%	4.9%	9.7%	7.8%	15.1%	5.3%
	Non-GAAP OP	311,301	397,234	443,000	490,000	540,000	420,000	148,966	39,995	87,494	82,382	187,363	45,000
	%y-y	36.8%	27.6%	11.5%	10.6%	10.2%	5.7%	16.2%	145.4%	80.2%	-15.5%	25.8%	12.5%
	OP margin	9.1%	11.1%	12.3%	13.0%	13.8%	12.0%	13.5%	5.6%	10.2%	9.6%	16.1%	6.1%
6702 Fujitsu	Sales	3,550,116	3,502,971	3,484,000	3,667,000	3,849,000	3,510,000	1,142,134	749,859	816,683	884,642	1,051,787	738,000
	%y-y	2.1%	-1.3%	-0.5%	5.3%	5.0%	0.2%	9.6%	-1.2%	3.0%	3.4%	-7.9%	-1.6%
	OP	265,089	348,329	415,000	483,000	552,000	415,000	159,200	33,486	71,859	105,656	137,328	36,500
	%y-y	77.5%	31.4%	19.1%	16.4%	14.3%	19.1%	37.8%	133.7%	150.7%	68.2%	-13.7%	9.0%
	OP margin	7.5%	9.9%	11.9%	13.2%	14.3%	11.8%	13.9%	4.5%	8.8%	11.9%	13.1%	4.9%
	Adjusted OP	307,265	390,589	425,000	493,000	562,000	425,000	170,184	35,119	86,208	107,836	161,426	39,000
	%y-y	15.8%	27.1%	8.8%	16.0%	14.0%	8.8%	6.9%	111.9%	74.1%	51.9%	-5.1%	11.1%
	OP margin	8.7%	11.2%	12.2%	13.4%	14.6%	12.1%	14.9%	4.7%	10.6%	12.2%	15.3%	5.3%
NTT Data (Global Solution segment in NTT)	Sales	4,638,721	5,004,614	5,206,000	5,451,000	5,682,000	5,190,000	1,230,965	1,104,369	1,256,098	1,283,336	1,360,813	1,166,000
	%y-y	6.2%	7.9%	4.0%	4.7%	4.2%	3.7%	3.3%	-0.7%	11.4%	9.9%	10.5%	5.6%
	OP	323,862	488,211	470,000	530,000	590,000	470,000	87,881	57,786	211,192	115,225	104,008	60,000
	%y-y	4.6%	50.7%	-3.7%	12.8%	11.3%	-3.7%	-21.9%	-1.4%	133.7%	32.5%	18.4%	3.8%
	OP margin	7.0%	9.8%	9.0%	9.7%	10.4%	9.1%	7.1%	5.2%	16.8%	9.0%	7.6%	5.1%
	Gain on sales of DC		129,500	70,000	70,000	70,000	70,000			129,500			
	OP (excl. gain on sales of DC)		358,711	400,000	460,000	520,000	400,000			81,692			
	%y-y		10.8%	11.5%	15.0%	13.0%	11.5%			-9.6%			
	OP margin		7.0%	7.6%	8.3%	9.0%	7.5%			6.5%			
Company	Results (FY ended Dec)		GSE			CoE	CY25			CY26			
	24/12	25/12	26/12	27/12	28/12	26/12	1-3	4-6	7-9	10-12	1-3	4-6E	
4704 Trend Micro	Sales	272,638	275,984	300,000	312,500	325,600	301,500	67,501	66,408	68,844	73,231	73,856	72,890
	%y-y	9.6%	1.2%	8.7%	4.2%	4.2%	9.2%	2.4%	-3.2%	1.1%	4.6%	9.4%	9.8%
	OP	48,105	57,777	55,000	58,000	61,200	56,400	15,006	13,466	16,002	13,303	15,558	12,890
	%y-y	47.6%	20.1%	-4.8%	5.5%	5.5%	-2.4%	23.7%	9.4%	8.1%	50.0%	3.7%	-4.3%
	OP margin	17.6%	20.9%	18.3%	18.6%	18.8%	18.7%	22.2%	20.3%	23.2%	18.2%	21.1%	17.7%
4768 Otsuka	Sales	1,107,668	1,322,791	1,348,800	1,391,200	1,451,600	1,311,000	315,541	379,591	310,587	317,072	344,753	376,400
	%y-y	13.3%	19.4%	2.0%	3.1%	4.3%	-0.9%	18.3%	25.3%	23.0%	11.1%	9.3%	-0.8%
	OP	74,360	89,943	88,000	93,000	99,000	90,000	21,175	27,998	17,356	23,414	23,505	27,000
	%y-y	18.1%	21.0%	-2.2%	5.7%	6.5%	0.1%	22.8%	29.6%	30.2%	5.5%	11.0%	-3.6%
	OP margin	6.7%	6.8%	6.5%	6.7%	6.8%	6.9%	6.7%	7.4%	5.6%	7.4%	6.8%	7.2%
Company	Results (FY ended Jun)		GSE		CoE	CY25			CY26				
	24/6	25/6	26/6	27/6	28/6	26/6	1-3	4-6	7-9	10-12	1-3	4-6E	
4478 freee	Sales	25,431	33,271	42,260	50,880	60,100	41,930	8,600	9,420	9,744	10,198	10,902	11,417
	%y-y	32.3%	30.8%	27.0%	20.4%	18.1%	26.0%	29.3%	34.4%	32.1%	29.5%	26.8%	21.2%
	OP	-8,387	611	1,040	3,300	6,000		316	-573	272	260	91	417
	%y-y	N.M.	N.M.	70.2%	217.3%	81.8%		N.M.	N.M.	27.2%	-60.3%	-71.1%	N.M.
	OP margin	-33.0%	1.8%	2.5%	6.5%	10.0%		3.7%	-6.1%	2.8%	2.5%	0.8%	7.4%
	Adjusted OP	-7,562	1,885	2,540	5,100	8,100	2,520	659	-230	690	662	445	743
	%y-y	N.M.	N.M.	34.7%	100.8%	58.8%	33.7%	N.M.	N.M.	43.8%	-32.2%	-32.5%	N.M.
	OP margin	-29.7%	5.7%	6.0%	10.0%	13.5%	6.0%	7.7%	-2.4%	7.1%	6.5%	4.1%	6.5%

Disclosure Appendix

Reg AC

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